

The *Dow 36,000* guys may have beclowned themselves, but Burry remains a fantastic investor. His net worth has grown to over a billion dollars, and he accomplished that by being a uniquely insightful steward of risk capital. He is willing to fight the crowd, something we will see in later chapters can be terribly uncomfortable. He not only embraces risk, but can withstand vicious, painful drawdowns that have broken lesser traders.

Despite his acumen as an investor, his forecasts have proven themselves to be money-losing. The entire purpose of this exercise is for you to recognize that you should not care about *anyone* else's forecast—even a brilliant investor like Michael Burry.

But there is even more to this for a very specific reason: *Forecasters who make one great outlier call correct tend to make lots more outlier forecasts.* Worse, observers overweight the “rare call,” putting even more faith in future forecasts.

This is the paradox of predictions, according to Joe Keohane of the *Boston Globe*:

How can someone with the insight to be so right about a major event be so wrong about so many other ones? According to a recent study, it's simple: The people who successfully predict extreme events, and are duly garlanded with accolades, big book sales, and lucrative speaking engagements, don't do so because their judgment is so sharp. They do it because it's so bad...⁴⁷

In other words, they keep trying for the next great doomsday call. What should be a once-in-a-lifetime great prediction becomes their standard operating procedure. Keohane was writing about Nouriel Roubini, but it's just as applicable to Burry, or anyone else who nails a big outlier forecast.

I have had a few great market calls in my career, notably the top and bottom of the Great Financial Crisis (GFC). And at the end of Q1 2020, I urged people not to assume that Covid had ended the bull market.⁴⁸ But I understand enough about forecasts that I honestly have to admit I don't